MODULE 3

Building Without *Breaking*

Speed is a strategy. So is knowing when to slow down.

Your first job as a founder is not to
prove that your idea works.

Your first job is to find the
cheapest way to discover whether you're wrong

A

SECTION A

Evidence-First Building

Before product-market fit, building is not the same activity as shipping features. It's the search for evidence that someone needs it and will pay.

SECTION A · EVIDENCE-FIRST BUILDING

The #1 failure mode: *building without evidence.*

Independent post-mortem research finds the most common cause of startup failure isn't execution, capital, or team - it's the absence of a market need for what was built.

42%

of post-mortems name **"no market need"** as the leading cause of failure.

WHAT 42% MEANS

The founders built something a real customer agreed was a problem - in conversation, in surveys - but whose purchase they couldn't secure once the product existed. The build had plausibility, *not demand*.

What this leaves out. The stat does not say how many of those founders were technically capable, well-funded, or well-staffed. The bottleneck sits earlier than execution - at the step where a hypothesis about a market need is formed and not tested.

Source: CB Insights, "Why Startups Fail" - 431 venture-backed post-mortems (2024 update).

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SECTION A · EVIDENCE-FIRST BUILDING

Two speeds of building: *learn-fast* and *ship-fast*.

Speed is not one idea. Pre-PMF and post-PMF are different operating modes. The mistake is using the wrong speed for the phase you're in.

PRE-PMF · LEARN-FAST

Learning velocity per unit of money and time.

Goal: invalidate or confirm your riskiest assumption cheaply.

You ship: the smallest thing that produces a signal you can read.

You measure: experiments per month, each with a decision attached.

You stop when: a hypothesis has been tested, not when a feature is "done."

POST-PMF · SHIP-FAST

Shipping velocity once customers tell you what to build.

Goal: serve a demand curve that already exists.

You ship: features your active users have asked for.

You measure: retention, NPS, payback period, throughput.

You stop when: a release no longer moves the leading indicator it was tied to.

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B

SECTION B

The Three Stages

MVP · MLP · MMP

Pick what you're building toward. Each stage has a different unit of evidence, a different "done," and a different audience to satisfy.

SECTION B · THE THREE STAGES

MVP · MLP · MMP

Each target turns a different knob. Sequencing them in order keeps you from skipping a stage the next one depends on.

MVP

Minimum Viable Product

Proof the mechanism works.

Internal validation of the core loop. The audience is you, your team, and a tight circle of beta testers.

"Done" = the core loop closes hands-off.

MLP

Minimum Lovable Product

Proof a real customer reacts.

First named users - not advisors, not friends. The audience responds with relief, delight, or referral.

"Done" = one user tells another, unprompted.

MMP

Minimum Monetisable Product

Proof someone will pay.

A buyer with authority and a budget cycle. The audience has decided the exchange is worth money to them.

"Done" = first contract, even small, on the books.

SECTION B · MVP DETAIL

MVP - prove the core mechanic works.

DEFINITION

The smallest version of the **thing that does the thing** - built to confirm the core mechanism runs end-to-end in controlled conditions. The MVP is built to test, not to sell.

USE CASES

- Internal validation of the mechanism
- Core loop runs without a human in it if designed that way
- Bug surface understood by the team

RULES

- Don't ship an MVP as if it's a product
- Ship it to test, not to sell
- The audience is technical - not the market

OUTPUT

Confidence in the mechanism - not market demand. The MVP is necessary; it is not sufficient.

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SECTION B · MLP DETAIL

MLP - make a named user tell someone about it.

THE ACID TEST

Would your first customer be upset if you took it away tomorrow?

CORE PRINCIPLE

One feature done extraordinarily well outranks ten features done adequately.

INDICATORS OF MLP HEALTH

Unsolicited referral. User mentions it to a peer.

Repeat use. Returns of their own accord within a week.

Loss aversion. The acid test reads "yes" without hedging.

The MLP is the smallest experience that produces a real customer reaction. Build fewer things and make them feel more substantial.

SECTION B · MMP DETAIL

MMP - the smallest thing someone will pay for.

PURPOSE

Confirm willingness to pay - the signal that the product creates **exchange value**, not just intrinsic value. Until you have an MMP, you have an experiment. The moment you take money, you have a business.

MILESTONE

First revenue (any size) *beats infinite "interest."*

The unit of evidence is cash, or a binding commitment on cash - not a quote document on a CRM.

REALITY CHECK

- If the honest answer to "would they pay today?" is "probably not" - you haven't hit MMP yet.
- Press releases, demo accounts, and warm quotes do not count as MMP evidence.
- The MMP proves the purchase, not the product.

MMP = PMF

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SECTION B · WORKED EXAMPLES

Famous MVPs, in hindsight.

The mechanism was small and rough. The evidence it produced wasn't.

MVP

YouTube (2005)

Launched as a bare-bones video upload and search site with almost none of today's platform features. The only question it tested: will strangers upload and watch each other's short videos?

PIVOT

Burbn → Instagram (2010)

Burbn was a cluttered check-in app with photo-sharing bolted on. Usage data showed people ignored everything except the photo feature - so the founders stripped the rest away and relaunched as Instagram.

CONCIERGE

Dyson (1979–1983)

James Dyson hand-built over 5,000 prototype cyclones before the first commercial bagless vacuum. Each prototype existed only to test one mechanical assumption, not to be sold.

C

SECTION C

The Framework Stack

Frameworks for evidence-first building.

1. **Build–Measure–Learn** (E. Ries)
2. **Customer Development** (S. Blank)
3. **Riskiest Assumption Test** (A. Maurya)
4. **The Mom Test** (R. Fitzpatrick)
5. **MVP technique catalogue**
6. **Innovation Accounting** (E. Ries)
7. **Do Things That Don't Scale** (P. Graham)
8. **Cost of Delay** (opportunity-cost framing)

FRAMEWORK 1

Build–Measure–Learn

Eric Ries, The Lean Startup. Learning velocity per unit of money and time.

Hypothesize → Build smallest test → Measure signal → Learn / pivot / persevere

THE HYPOTHESIS TEMPLATE

We believe [specific customer] **has** [this specific problem].
We will know we're right when [this observable signal].
We will test this with [this cheapest experiment].

CONCRETE EXAMPLE - B2B SAAS FOR INDIAN RETAIL

We believe that operations managers at mid-sized Indian retail chains **have** inventory mismatch they only discover at end-of-week reconciliation. **We will know** when we observe ≥ 3 unflagged mismatches in 4 weeks of anonymised log data shared under NDA. **We test this with** the data-share agreement, not an MVP build.

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FRAMEWORK 2

Customer Development

Steve Blank. Get out of the building.

01

Customer Discovery

Form and test hypotheses about the problem and the buyer.

02

Customer Validation

Confirm the model through repeatable, paid sales.

03

Customer Creation

Build demand - sales, marketing, channel.

04

Company Building

Transition the org from learning to execution.

WHAT IT MEANS PRE-PMF

Stay in Discovery → Validation until you have repeat purchase behaviour at the price your economics require.

COMMON SLIP

Treating a published demo, a warm introduction, or a pre-orders-in-progress claim as Validation evidence. These belong in Discovery - not past it.

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FRAMEWORK 3

Riskiest Assumption Test

Ash Maurya, Running Lean. Don't test what's easy - test what kills the business if wrong.

Desirability

Do they want this? Will they switch behaviour? The first risk to test for most products.

Test first · default order

Viability

Can the unit economics hold at the price and volume the buyer requires?

Test once unit volume is plausible

Feasibility

Can you actually build this? Priority if your product is technically novel.

Test first when technically novel

THE REORDERING RULE

Maurya's default order is **desirability → viability → feasibility**, assuming feasibility is the cheapest assumption. When your product depends on a novel or unproven technical mechanism, **test feasibility before anything else** - even if it's harder.

"Does she actually want a romantic relationship with me?"

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FRAMEWORK 4

The Mom Test

Rob Fitzpatrick, The Mom Test. Talk about their life, not your idea.

> *"It's never whether the person would buy your thing. It's how their life is right now - what they spend time on, what they pay for, what they tolerate, and why."*

1

Talk about their life, not your idea.

Less than 20% of any interview should be about your product.

2

Ask about specifics in the past.

What they did. Hypotheticals - flattering ones included - are unreliable.

3

Talk less, listen more.

Dig into workarounds and money already spent. Effort revealed beats preference stated.

APPLIES TO B2B THE SAME WAY

Buyers are stakeholders - operations managers, IT leads, procurement specialists, founders of small businesses. Ask about the last time they changed a process, what triggered it, who approved it, what the vendor evaluation looked like. The path they took before is the path they'll take for you.

FRAMEWORK 5

MVP technique catalogue

A menu of evidence-generating builds. Pick by what decision you need to make.

TECHNIQUE	WHAT EVIDENCE IT PRODUCES	COST & TIME	BEST FIT
Fake Door / Landing Page	Will people express interest?	A food-delivery company puts a "Healthy 20-min Meals" button on its app. When clicked, users see: "Coming soon — join the waitlist." Measure clicks/sign-ups before building the service.	SaaS, e-commerce, consumer apps.
Wizard of Oz	Will people use the product even if the technology is manual behind the scenes?	Urban Company: customer books a "home cleaning" service through a polished interface, but the matching/coordination behind the scenes can initially be done manually by a human rather than an automated algorithm.	Marketplaces, services sold as software.
Concierge MVP	Will customers value the outcome if we deliver it manually?	Instead of building a personal-finance AI, the founder gets 10 customers to WhatsApp their bank statements and manually prepares a personalized monthly financial plan for each.	B2B services, anything sold as a relationship.
Filmed Demo	Does the proposed experience generate desire before we build it?	Dropbox: demonstrate seamless file syncing in a video before building the entire consumer product. If people sign up after seeing the demo, there is evidence of demand.	Novel products, complex value propositions.
Pre-sell / LOI	Will someone actually commit money/business to it?	Before manufacturing a ₹1 lakh smart home device, show a prototype to 20 homeowners and ask them to pay ₹10,000 to reserve the first unit. Or get 5 builders to sign LOIs.	Products that take longer than a quarter to build.

FRAMEWORK 6

Innovation Accounting

Eric Ries (The Lean Startup). The right metric for the phase you're in.

VANITY METRICS

Make you feel good. Tell you little.

Examples: total signups, follower count, cumulative press mentions, downloads to date, "users in pipeline."

They move when any team does marketing or PR. They tell you nothing about whether building worth doing.

ACTIONABLE METRICS

Tie specific, repeatable actions to observed results.

Examples: "users who complete the loop today vs. yesterday, by source"; "first-purchase conversion by week of sign-up cohort"; "weekly active second-month use."

THE ONE METRIC THAT MATTERS PRE-PMF

Experiments run per month, each with a decision attached.

If a month passes without a hypothesis advancing or retracting, that month was a stall - regardless of how much code was written.

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FRAMEWORK 7

Do Things That Don't Scale

Paul Graham, YC. Manual, artisanal, painstaking - a feature of learning, not a hack.

> *"Startups take off because the founders make them take off. The careful manual process you do for your first ten customers is what teaches you what the product needs to be."*

MANUAL RECRUITMENT

You, not growth marketing, recruit the first named users. Urban Company's founders personally onboarded and trained their first service professionals - no self-serve signup.

CONCIERGE / CONSULT

Build the product to fit one named user's specification. Adjacent users tend to share the shape.

DELIGHT BY HAND

Treat the first ten named users as your highest-signal reviews. CRED sent its earliest members personalised welcome gifts and handwritten notes.

BE THE SOFTWARE

Some teams do manually what they plan to automate later. Dunzo's founders ran errands and made deliveries themselves before the app existed - learning the workflow before building the tool.

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FRAMEWORK 8

Cost of Delay

What "no" protects you from. The Never List in numbers.

MONEY

Direct spend on the wrong artefact.

Capital tied up in tooling and hires that don't produce evidence. Time to recover is rarely recoverable.

TIME

Calendar quarters you don't get back.

Every quarter spent on the wrong build closes a window for this season - for fundraising, recruiting, partnerships.

MOMENTUM

Investor, recruit, partner attention.

Each quiet quarter erodes the case for raising the next round and landing the next hire.

MARKET WINDOW

The first-mover advantage.

Early partners willing to work with a startup are limited per season. First to land the design partner sets the relationship.

Decision rule - *for each Never-List item, estimate the cost of delay if you build it anyway. That number is the discipline.*

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D

SECTION D

When It Doesn’t Work

Not every build finds evidence. This is the discipline for reading the signal honestly - diagnosing the miss, choosing a pivot with intent, or killing on schedule.

1. **Diagnose the Miss**
2. **Four Ways to Pivot**
3. **Kill, Don’t Limp**
4. **Case Study: an Indian Pivot & Shutdown**

SECTION D · DIAGNOSE THE MISS

No signal isn’t no demand.

THE FIRST QUESTION

Before you touch the roadmap, find out whether the miss is in the **test** or in the market. A bad test and a real no look identical from the outside - the wrong audience, an unset threshold, or too small an ask can all masquerade as "no one wants this."

WHERE TO LOOK FIRST

Re-run the test before you re-write the roadmap.

Check the hypothesis worksheet: was the customer named and specific, and was the signal threshold pre-set - or graded on a curve after seeing the result?

SIGNS IT'S A REAL MISS

- Several different named customers gave the same honest no, not one ambiguous conversation.
- The test sat on the Evidence Ladder’s Behaviour or Commitment rung - not just Conversation.
- The threshold you pre-registered was missed outright, not just under-hit.

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SECTION D · FOUR WAYS TO PIVOT

Pivot one element at a time

Same evidence, different reaction. Change what you're testing, not how hard you're testing it.

CUSTOMER-SEGMENT PIVOT

Same problem, different buyer.

Meesho found its real buyer was reseller-entrepreneurs, not consumers - and rebuilt around them.

PROBLEM PIVOT

Same customer, different job.

Zomato's menu-discovery audience actually wanted delivery solved - the problem itself changed.

CHANNEL PIVOT

Same offer, different door.

Dunzo proved demand over WhatsApp before moving the same offer to a dedicated app.

REVENUE-MODEL PIVOT

Same product, different exchange.

Byju's kept its content but scaled on a paid subscription app instead of free access.

Decision rule *- pivot only the element the evidence indicts. Change more than one, and you can't read the next signal.*

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SECTION D · WHEN TO KILL

Kill - pre-registered, not improvised.

THE TRAP

Sunk cost makes a slow no feel like patience. The fix is the same discipline as the Never List: decide the **kill criteria** before the evidence arrives, while you can still be objective about it.

SET THE CRITERION EARLY

Tie it to what's already on your worksheets.

A threshold missed twice on the Evidence Ladder, or a rung not climbed by the date you committed to on the hypothesis worksheet.

CASE IN POINT

- Stayzilla shut down in 2017; its founder wrote publicly about why - a widely cited lesson in Indian startup circles.
- The lesson wasn't the shutdown - it was the gap between knowing and acting on it.
- A kill on schedule protects what Cost of Delay warned you about: money, time, and market window.

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FRAMEWORK MAP · WHAT YOU TAKE WITH YOU

Framework map

Eight frameworks. Three targets. Five instruments. Five exercises. A pivot/kill framework. One open question.

FRAMEWORKS

1. Build–Measure–Learn (Ries)
2. Customer Development (Blank)
3. Riskiest Assumption (Maurya)
4. The Mom Test (Fitzpatrick)
5. MVP technique catalogue
6. Innovation Accounting (Ries)
7. Don't Scale (Graham)
8. Cost of Delay

TARGETS

MVP

Mechanism works.

MLP

A real customer reacts.

MMP

A buyer commits funds.